

Ongoing Digital, Personal and Sustainable Advances Centered on Human-centric Science

Anima Sana in Corpore Sano

Creating Value Based on Human-Centric Science

ASICS is a company that began by making sports shoes based on Kihachiro Onitsuka's desire to nurture young people with healthy minds and bodies. The company name ASICS is derived from a line in a poem by Roman satirist Juvenalis, "Anima Sana in Corpore Sano (If you pray to God, pray for a healthy body and spirit)." Through sports, we can realize a healthy and fulfilling life both physically and mentally. This idea is still firmly passed on as ASICS cherished founding philosophy.

We believe in the importance of continuing to embody this philosophy even as times change, and the concept that will realize this philosophy is human-centric science. In other words, in addition to closely observing human behavior, exercise and movement, we will employ scientific analysis leading to the development of products and services that enable safer, more efficient and more effective exercise. This is ASICS' core value, infused in all our products and services.



Motoi Oyama
Chairman and CEO,
Representative Director

Developing products in this way fosters trust and confidence, making ASICS a brand to which customers remain loyal over the long term. Consistent repetition of these efforts supports the ASICS brand value of today. Among the various functions offered by shoes, ASICS places the highest priority on safety. No matter how simple the exercise, injuries and other risks are inherent in sports. How can we prevent these risks? Asics products pursue improved functionality and quality, with safety as the top priority, from the research and development phase to manufacturing.

The base for developing human-centric science is the ASICS Institute of Sports Science (ISS), a research and development facility located in the Kobe, Hyogo Prefecture. ISS is engaged in exhaustive research on various aspects of human characteristics, structural design, materials, analytical evaluation test methods and production technologies. At the same time, we are engaged in the consistent designing and prototyping of products, as well as data analysis leading to new services. We collect massive amount of data on the physical movements and body shapes of a wide range of people including top athletes, infants, adults and the elderly. This data is analyzed scientifically while developing products and services based on assumptions about needed functionality. The ISS is also a monument symbolizing the concepts of founder Kihachiro Onitsuka and social advancements. Every time I am there, I am reminded of Mr. Onitsuka's strong desire to cultivate healthy minds and bodies through sports. I visited ISS at the beginning of 2021, and looking out at the Seto Inland Sea from the rooftop, which features carvings of deities who protect ships, it felt as though ASICS was a ship about to embark on a new voyage, filling me with a renewed sense of motivation.

Sound Mind, Sound Body

Returning to Our Founding Philosophy

Starting in 2021, we are promoting the English translation of our founding philosophy (A Sound Mind in a Sound Body) under the brand tagline "Sound Mind, Sound Body." This is the essence of ASICS as a company and a brand.

Although interest in mental and physical health has been on the rise in recent years, COVID-19 has been a sharp reminder of the importance of health. Given these circumstances, ASICS concepts and corporate activities have not always been sufficiently communicated. With the tagline "Sound Mind, Sound Body"

ASICS will communicate its aim of realizing lifestyles that are healthy for mind and body through our provision of products and services.

At the same time, all of us at ASICS understand the thought that went into Mr. Onitsuka's founding philosophy, which is the origin of our Company name. The "Sound Mind, Sound Body" concept declares our intention to create products based on human-centric science, compliance and meeting customer expectations without exception.

Business Model

Strong Relationships of Trust with Partners Comprising the Supply Chain

The ASICS business model is centered on highly competitive manufactured goods or "products." As a sports equipment manufacturer, we develop products that are made at outsourced production factories and sold all over the world—this is our basic form. With this business model, ASICS strength lies in the fact that it has established strong relationships of trust with materials and resource suppliers and production outsourcers. Outsourced production factories are rapidly expanding production lines based on demand forecasts and complying with production policies required by ASICS, which is made possible by the fact that ASICS conducted dialogues on equal terms to create better products.

To continue the production and supply of products in a timely and appropriate manner, we are also working to prepare for unexpected disruptions in the supply chain. Going forward, we will transform our business model under the keywords "digital" and "sustainable" based on relationships of trust with the various partners that make up the ASICS supply chain, enhancing our existing strengths to make them even stronger.

Megatrends

Business Environment Surrounding ASICS Will Continue to Provide a Tailwind Even in the Post COVID-19 World

The business environment surrounding ASICS will continue to provide a tailwind even after COVID-19. Exercise is becoming more and more important for maintaining physical and mental health, as running and walking, which can be easily engaged in while reducing the risk of infection, are becoming widespread due to COVID-19, which has been great business opportunity for ASICS.

Additionally, as the population ages in Japan and throughout the world, moderate exercise is increasingly recognized by a wider range of generations as leading to an extended healthy life expectancy. Moreover, in

India, Indonesia and other developing nations where disposable income continues to increase, the base customer for sports equipment purchases is also expanding. Other major trends in the social environment include the digitization of consumer purchasing activities and the growing preference for products that are considering the global environment.

VISION 2030 Targeting the Future of ASICS

Create Quality Lifestyles through Intelligent Sport Technologies

In light of these changes in the environment, ASICS formulated VISION 2030 to clearly demonstrate our significance to society. With a renewed focus on our founding philosophy, ASICS aim is to "create quality lifestyles through intelligent sport technologies." To this end, we will further advance our business model with a focus on 2030, developing products constituting the source of present earnings, facilities and communities facilitating spaces for sports activities and analysis and diagnosis providing programs based on the use of data for analytical and diagnostic software services. We will expand business in all domains under the common themes of digital, personal and sustainable.

Products: Personalized Products

We will continue to strengthen products as a pillar of our business. One initiative currently under development is personalized shoes. The size and shape of each foot is very different, and even the word *shoes* means something different depending on the situation and usage. When people have less training, they require a wider variety of functions, such as the need to consider injury prevention and safety rather than performance. We will incorporate ASICS shoemaking knowledge accumulated by specializing in top athletes and are making efforts to use digital technologies to incorporate and customize this knowledge from a variety of perspectives for the general public.

Facilities and Communities: Linking Optimal Environments and Friends

Our aim is to expand business at the ASICS Sports Complex TOKYO BAY low-oxygen training facility located in Toyosu, Koto Ward, Tokyo. In the future, we want to deploy the operational know-how accumulated in Japan to business overseas. Further, as we already operate Tryus functional exercise-specific day care facilities mainly in the Kansai region, we will continue to grow this business in anticipation of increasing demand due to the accelerating aging of the population. In terms of communities, although many marathons are being cancelled due to COVID-19, we launched the ASICS World Ekiden 2020 virtual relay race in which approximately 56,000 people participated. Going forward, we will continue to proactively hold both virtual and real world events.

Analysis and Diagnosis: Coaching Based on Personal Data

Amid growing demand for running products, the number of subscribers to Runkeeper™, OneASICS™ and other digital services continues to grow. In terms of analysis and diagnosis, based on data collected by these digital services, ASICS will collaborate with other companies and combine personalized services to provide an unprecedented experience. In March 2021, we collaborated with CASIO COMPUTER CO., LTD. which possesses advanced sensing technologies, to launch the Runmetrix service, which visualizes running using a motion sensor attached to the runner's waist to provide personal coaching services tailored to each individual. As a next step, in October we plan to launch provision of Walkmetrix for walkers.

To realize our 10-year vision, we formulated Mid-Term Plan 2023 covering the crucial first three-year period. Before touching on that, I want to look back on the AGP2020, the previous three-year plan upon which the new one is based.



Yasuhito Hirota
President and COO,
Representative Director

Looking Back on the Previous Three-Year ASICS Growth Plan (AGP) 2020**Crouch Low, Leap High**

In the fiscal year ended December 31, 2020, the impact of COVID-19 resulted in lockdowns in most countries as well as the postponement of the Tokyo 2020 Olympic and Paralympic Games. This was an extremely challenging year for ASICS, with net sales of 328.78 billion yen, a 13% decline year on year, while in terms of profits, the Company recorded an operating loss of 3.95 billion yen. ASICS management views this tumble into the red very seriously. In the previous mid-term plan AGP2020, we set high targets for sales and operating income that were revised downward in 2018, yet we were unable to meet even these revised targets. Looking back, the previous mid-term plan had been formulated based on the assumption that business expansion would continue on the growth trajectory seen up to fiscal 2015, thus we believe the biggest reason for not achieving plan targets was that we were unable to respond rapidly enough in a changing environment.

ASICS must reflect on the previous mid-term plan, squarely address issues that have emerged since the onset of COVID-19 and improve our management structure to generate profits.

At the same time, we will promote innovations. From fiscal 2019 up to now, we combined existing organizations separated by function into five categories promoting business that integrates manufacturing and sales. This category system has strengthened management visualization and collaborations between the Head Office and sales companies, significantly transforming the management cycle. Even amid the turmoil caused by COVID-19, we were able to respond quickly in each region, securing funds and managing inventory properly, evidence that our category system worked well. Even in Performance Running, where we have stepped up efforts as a product growth area, the addition of functions reflecting feedback from sales companies has improved ASICS product evaluations, which I feel will be seen in future business performance. e-Commerce (EC) is also expanding rapidly, as consumers shift to more digital purchases. In the new mid-term plan, based on reflection points and issues raised so far, we will carefully cultivate the green shoots that have begun to emerge and promote the necessary reforms by crouching low and leaping high.

Mid-Term Plan 2023

Accelerating the Digital Shift Focused on Profitability

Under the Mid-Term Plan 2023, we will continue major policies from the previous plan by maintaining our focus on the Performance Running category, accelerating growth in China and improving profitability in the apparel and ASICS operated store categories. We will allocate management resources most heavily in the digital category with the aim of transitioning to digitally-focused management. By region, while accelerating growth in Greater China and further expanding profits in Oceania, we will accelerate growth while investing in India, Indonesia and the Middle East, areas that are expected to become pillars of earnings in the future. In mature markets such as Japan, the United States and Europe, we will focus on improving profitability.

With “digital” and “sustainable” set as strategic goals, ASICS will promote various measures under three priority strategies: Expand profit drivers, transform to profitable business and reinforce business foundations.

Specifically, in the mainstay Performance Running business, based on the concept of a running ecosystem centered on runners, ASICS will focus on providing a running experience satisfying mind and body through seamless links to digital services such as training menu proposals, progress management and entries for various competitions. We will also expand the contact points with runners, which will lead to increased ASICS brand loyalty and EC business growth. We will also open stores in locations near running tracks in hopes that many runners will utilize them for directly accessing products and personalized services facilitating an experience of our product functionality.

ASICS biggest challenge is acquiring top runners. Although sales in this segment are not very significant in terms of the running market overall, but account for an overwhelming majority of race competitors. Innovation is needed to regain market share. We will refine our product development capabilities based on human-centric science including materials, while at the same time acquiring top runners. With these efforts as our driving force, we want to firmly “recapture the summit” by acquiring more top runners.

We will also improve the brand power of Onitsuka Tiger (OT), which is being developed as a premium lifestyle brand, ASICS will strive to make further improvements to the brand and product image, while growing OT as a profitable business.

Tokyo 2020 Olympic and Paralympic Games under the Pandemic

Preparing for Every Eventuality while Kindling the Flame of Passion for Sporting Events

ASICS is the only Tokyo 2020 Gold Partner in the sports equipment (apparel and sporting goods) category, and the manufacturer of items such as the official sportswear of the Japan national team. As the Tokyo 2020 Organizing Committee formulated a Sustainable Sourcing Code, ASICS also established and follows a procurement policy for manufacturing all items in a sustainable manner in accordance with this code. These items include the official sportswear of the 2020 Japan national team, made using materials recycled from donated clothes rich with memories collected from people all over Japan embodying ASICS commitment to sustainability.

Regarding the holding of the 2020 Tokyo Olympic and Paralympic Games, with due consideration for the spread of COVID-19, there were various discussions about limiting the number of spectators or holding the games without any spectators at all, leading to an unavoidable impact on anticipated sales around the venues as well as ASICS performance. That being said, ASICS support for athletes and the passions of all sports enthusiasts remains unchanged. We will prepare for every eventuality, including the possibility that the Olympic Games will be cancelled, as we continue to encourage enthusiasm and anticipation for sporting events.

Risks and Challenges

Addressing Climate Change and New Entrant Risks, Strengthening Global Human Resources

What risks and challenges must we confront to realize the future set forth in VISION 2030? One external risks is intensification of the competitive environment due to the entry of new competitors. As new competitors are entering the market, mainly overseas, we will respond by differentiating ASICS based on technological capabilities rooted in ASICS human-centric science.

An even larger external risk is global warming associated with climate change. Environmental changes making it difficult for people to exercise and play sports is a major risk to the survival of ASICS, and also the reason why ASICS continues to engage in corporate activities emphasizing consideration for the global environment.

ASICS recognizes that the most important internal risk is retaining and developing human resources able to realize the future we envision. ASICS is rare among Japanese companies in that approximately 70% of our sales are overseas. Under our categories system, led by the Head Office in Japan, while applying global governance, each region will rapidly develop measures rooted in local communities and capture overseas growth. Promoting global management in this way, ASICS has already established a common global human resource system and is actively engaged in employee exchanges. Going forward, however, particularly amid the advancing digital shift, I sense there is an urgent need to retain and develop human resources able to oversee products and services from a global perspective.

Sustainability

Contributing to Physical and Mental Health. Making the World Sustainable for Future Generations

In this final section, I will explain how ASICS contributes to the achievement of the Sustainable Development Goals (SDGs). The critical concept here is sustainability. In 2019, ASICS established the Sustainability Committee, chaired by the President, as an advisory body to the Board of Directors. To realize our 2020 sustainability goals, we have been engaged in six priority areas: product and service sustainability; product chemical safety management and traceability; operational energy efficiency and management systems; safe and ethical workplace standards and sustainable practices at Tier 1 and Tier 2 suppliers; governance and transparency, organizational efficiency and development of an engaged workforce; and contributions to healthier communities through movement and sport.

Further, ASICS sustainability plans and strategies have been confirmed as consistent with the United Nations SDGs. These activities are essential as everyone on Earth will have to live in the future being created. ASICS business activities correspond to all 17 SDGs, but are particularly relevant to Goal 3: Good Health and Well-Being; Goal 5: Gender Equality; Goal 6: Clean Water and Sanitation; Goal 8: Decent Work and Economic Growth; Goal 12: Responsible Consumption and Production; Goal 13: Climate Action; and Goal 17: Partnerships for the Goals.

From the perspective of ESG management, regarding environmental (E) issues, ASICS is aligned with global efforts to limit average temperature increases to 1.5 degrees above pre-industrial levels, and committed to net-zero greenhouse gas emissions by 2050 and aims to reduce CO₂ emissions 63% by 2030. For running shoes released in 2021, we are replacing part of upper materials made from petroleum-derived materials with recycled polyester materials made from PET bottles or old clothing for more than 90% of new products to drive circular manufacturing. We are also working on to shift to renewable energy for electricity used at our outsourced production factories.

In terms of social (S) issues, ASICS will of course contribute to the physical and mental health of people through our products and services. For supply chain in the shoe manufacturing process, there are still only a few aspects that have been mechanized, requiring a substantial amount of labor by human hands. ASICS conducts audits so that people working at outsourced production factories can work in safe and healthy environments where labor standards are observed. ASICS promotes compliance with CSR standards through its participation in Better Work, a program operated by the International Labor Organization (ILO) and International Finance Corporation (IFC).

Regarding governance (G), ASICS transitioned to a Company with an Audit and Supervisory Committee. I think the Board of Directors composition has evolved into a relatively advanced form, with outside directors accounting for the majority of members and gender diversity expanding. Looking at the efficacy evaluation results for the Board of Directors, scores are improving every year. We recognize the remaining issue is to ensure diversity in terms of nationality on the ASICS Board of Directors, thus we will continue efforts to secure appropriate talent. From the perspective of global governance, we will promote management while appropriately utilizing both centripetal and centrifugal forces, including Head Office led personnel and finance efforts, as well as site led sales and promotion activities. As governance has no end goals, ASICS will maintain a vigilant awareness of ESG perspectives.

While passing on our founding philosophy, ASICS will continue to provide valuable products and services to sports lovers and all ASICS stakeholders by adapting changes in line with today's digital revolution. Additionally, we will contribute to the realization of a sustainable environment and society by focusing on sustainability in all our business activities. ASICS will be intimately involved in exercise and sports for the rest of our lives and will continue to strive toward the realization of a world in which everyone has a healthy mind and body. We ask for your continued understanding and support of ASICS stance and initiatives.

(Interview conducted May 2021)